Self-assessment and payment of tax by companies

Content

A The UK Tax system and its administration

4. The time limits for the submission of information, claims and payment of tax, including payments on account

5. The procedures relating to compliance checks, appeals and disputes

6. Penalties for non-compliance

1.1 Submission of tax return

Due filling date

Later of:

{ 12 months after the end of the period of account
{ HMRC issues the company a notice to file a tax return + 3 months

due

- Period of account in which the accounting period to which the return relates.
- If period of account is longer than 12 months, two tax returns are required and have the same due filling date.
- Companies must submit their return and accounts in iXBRL electronically.
- A company are required to give notice of the beginning of first accounting period to HMRC within three months of that date.

营业收入： 100,000,000 元

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<p>营业收入：
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name="ifrs:Revenue"
contextRef="CurrentYear">
    100,000,000
  </ix:nonfraction>
  元
</p>
```

1.2 Late submission penalty

Delay	X≤3 months	3 < X≤6 months	6 < X≤12 months	X>12 months
1st & 2nd	£100	£100+£100	£200+10% unpaid tax	£200+20% unpaid tax
3rd or more	£500	£500+£500	£1,000+10% unpaid tax	£1,000+20% unpaid tax

2. Payment of tax

Small and medium sized companies

The end of the accounting period + 9 months +1 day

Large companies

Definition: Augmented profits > Limit

- Augmented profits = Taxable Total Profit + Dividends from Non-51% group companies
- Limit = £1,500,000 $\times \frac{m}{12} \times \frac{1}{n}$

m = months of accounting period

n = associated company

Lecture example 1

For the year ended 31 March 2026, Quack Ltd has taxable total profits of £480,000 and dividends (not from 51% group companies) of £40,000. The company had the same level of profits for the year ended 31 March 2025. Quack Ltd has had two associated companies for several years.

Determine whether Quack Ltd is large company or not for the year ended 31 March 2026.

2.2.2 Payment of corporation tax by large companies

Large companies should pay corporation tax by instalment.

- **Time of instalment:**

➢ Accounting period = 12 months

14th of the 7th month, 10th month, 13th month, 16th month following start of accounting period

➢ Accounting period < 12 months

Final instalment is fixed: 14th of the 4th month following end of accounting period

Any instalment after final instalment will be canceled.

2.2.2 Payment of corporation tax by large companies

- **Amount of instalment**

Each instalment = Estimated corporation tax $\times \frac{3}{m}$

(m = months of accounting period)

Last instalment = Balance of corporation tax

- **No instalment**

First year of large company & Profits < £10,000,000 $\times \frac{m}{12} \times \frac{1}{n}$

（m = months of accounting period, n=No. of associated companies)

or Corporation tax liability ＜ £10,000

Lecture example 2

T plc is a large company which has a 10-month accounting period to 31 December 2026.

Total corporation tax liability of T plc is expected to be £4m.

When and how much will the corporation tax be due?

2.3 Late payment of corporation tax

Late payment of corporation tax will only charge interest.(8.50%)

Overpayment of corporation tax, interest will be repaid. (3.50%)

Interest runs from the due date to the actual date of payment.

Interest paid/received on late payments or over payments is investment income.

3. Amendment and error

3.1 Amendment due

Company amend: Due Filing date + 12 months

HMRC amend: Actual filing date + 9 months

(correct any obvious errors or anything else that an officer has reason to believe is incorrect in the light of information available)

3.2 Penalty for error in return

Rate % × unpaid tax

Taxpayer behaviour	Maximum penalty No disclosure	Minimum penalty - Unprompted disclosure	Minimum penalty - Prompted disclosure
Deliberate and concealed	100%	30%	50%
Deliberate but not concealed	70%	20%	35%
Careless	30%	0%	15%

4. Keeping records

Companies keep records

Companies must keep records for 6 years from the end accounting period, or longer if HMRC has started a compliance check.

Penalty for failure to keep records

Failure to keep records can lead to a penalty of up to £3,000 for each accounting period affected.

5. Compliance check

HMRC has the right to enquire into the completeness and accuracy of any self-assessment tax return which is called compliance check. HMRC should issue written notice of compliance check.

The deadlines of the compliance check notice are:

- **Return is filed on time**

Group companies: Due Filing date + 12 months

Other companies: Actual filing date + 12 months

- **Return is filed late**

Quarter day of the Actual filing date + 12 months

Quarter day: 31 January, 30 April, 31 July, 31 October

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Quizzes(self-practice)

Quiz 1

Gilbert Ltd is a small company with no associated companies. The company prepares accounts for the 18 months to 30 June 2026.

By what date(s) must Gilbert Ltd pay their corporation tax liability?

A.1 October 2026

B.1 October 2026 and 1 April 2027

C.1 April 2027

D.31 December 2026 and 30 June 2027

Quiz 1-A

The correct answer is **B**.
Although this will be two accounting periods to 31 December 2025 and 30 June 2026, both tax returns must be filed within 12 months of the end of the second accounting period, i.e. 30 June 2027. However, Gilbert Ltd will have two payment dates, 1 October 2026 for the 12 month period ended 31 December 2025 and 1 April 2027 for the 6 month period ended 30 June 2026.

Quiz 2

Bardnad Ltd is a large company and normally prepares accounts annually to 30 June. However, they prepared accounts to the 9 months ended 31 March 2026. Bardnad Ltd had the following results:

Period ended	Total taxable profits
Year ended 30 June 2025	£1,800,000
Nine months ended 31 March 2026	£1,500,000

Quiz 2

What amount should each instalment of corporation tax be for Bardnad Ltd for the nine month period ended 31 March 2026?

A.£150,000
B.£112,500
C.£125,000
D.£93,750

Quiz 2-A

The correct answer is **C**.
Bardnad Ltd's corporation tax liability will be £1,500,000 × 25% = £375,000, due in instalments as follows:

4 January 2026	3/9 × £375,000	£125,000
14 April 2026	3/9 × £375,000	£125,000
14 July 2026	3/9 × £375,000	£125,000

Quiz 3

Zuka Ltd submitted their tax return for the year ended 31 December 2024 on 31 July 2026, and paid the outstanding corporation tax liability of £10,000 on the same day. This is the first time that Zuka Ltd has been late in filing a tax return.

What will the penalty be for the late submission of Zuka Ltd's tax return?

A.£1,200
B.£2,200
C.£100
D.£200

Quiz 3-A

The correct answer is **A**.
Filing due date was 31 December 2025. Late filing penalty for more than 6 months late but less than 12 months late is £200 plus 10% of any unpaid tax for the accounting period.



谢谢观看

THANK FOR WATCHING